Table 17.3 Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price turn at D?	91%	88%
How many rise to point A?	39%	15%
How many rise to point B?	79%	69%
How many rise to point C?	49%	31%

Trading Tactics

A bullish butterfly is for swing traders who can use the Fibonacci ratios to calculate the price where turn D will appear. Then they can wait to buy when the turn is in place. After that, all they have to do is sit back and collect their money as it tumbles in. Okay, so it's not really that easy. How easy is it? The following may answer that question.

Table 17.3 describes the behavior after the pattern ends.

How often does price turn at D? If price doesn't reliably turn at D, then traders are wasting their time chasing butterflies. However, the bullish butterfly doesn't disappoint. The average stock will turn upward at D at least 88% of the time. However, once they turn, how far does price rise?

How many rise to…? I mapped the rise for each butterfly and compared it to turns A, B, and C. For example, I found that for those making the turn at D, the stock climbed to A 39% of the time in bull markets and 15% of the time in bear markets. Point A, as you will recall, is at the top of the butterfly.

In bear markets, you'd expect the stock to struggle to reach the top of the pattern. In bull markets, with the market current pulling the stock upward, price is more than twice as likely to reach A than in bear markets. The remainder of the table shows how often price rises to the other turns.

Sample Trade

Figure 17.4 shows a trade Mary made using a bullish butterfly. The pattern's turns are labeled XABCD, as you might expect. Her pattern-